

THE CO-OPERATIVE BANK OF KENYA LIMITED

The Board of Directors is pleased to announce the Audited results of the Group and the Bank for the Period ended 31 December 2020

I STATEMENT OF FINANCIAL POSITION

	GROUP		KINGDOM BANK		CO-OP BANK	
	31-Dec-20 KSHS.'000 Audited	31-Dec-19 KSHS.'000 Audited	31-Dec-20 KSHS.'000 Audited	31-Dec-19 KSHS.'000 Audited	31-Dec-20 KSHS.'000 Audited	31-Dec-19 KSHS.'000 Audited
A ASSETS						
1 Cash (local and foreign)	8,607,090	8,959,634	206,834	79,631	7,891,150	8,258,224
2 Balances due from Central Bank Of Kenya	17,741,046	20,069,039	338,836	20,093	12,904,226	17,135,079
3 Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-
4 Financial Assets at Fair Value through profit and loss(FVTPL)	-	-	-	-	-	-
5.a.a Investment Securities: Held at Amortised Cost- Kenya Government Securities	98,167,673	76,871,525	294,866	304,907	76,782,715	76,719,661
a.b Investment Securities: Held at Amortised Cost- Other Securities	-	-	-	-	-	-
b.a Investment Securities: Fair Value through other comprehensive income(-FVOCI)Kenya Government Securities	63,718,146	40,931,155	21,597,044	202,104	63,173,412	40,931,155
b.b Investment Securities: Fair Value through other comprehensive income(FVOCI)-Other Securities	1,132,214	1,385,285	-	-	1,041,966	1,277,395
6 Deposits and balances due from local banking institutions	1,962,835	2,587,663	100,161	163,127	1,471,443	346,404
7 Deposits and balances due from banking institutions abroad	14,952,428	7,122,084	42,435	2,228	14,909,993	7,679,913
8 Tax recoverable	666,502	16,739	109	109	697,799	-
9 Loans and advances to customers (net)	286,634,192	266,712,696	5,138,260	5,709,562	280,522,176	265,332,776
10 Balances due from banking institutions in the group	-	-	-	-	-	-
11 Investments in associates	1,967,532	2,098,354	16,087	16,662	706,444	706,444
12 Investments in subsidiary companies	-	-	1,139	1,139	3,512,920	2,512,920
13 Investment in joint ventures	-	-	-	-	-	-
14 Investment in properties	-	-	-	788,000	-	-
15 Property, plant and equipment	12,301,610	11,421,236	1,045,869	307,665	9,502,863	10,519,106
16 Prepaid lease rentals	33,912	34,522	-	-	33,912	34,522
17 Intangible assets	6,119,101	2,708,018	40,859	286,743	2,699,811	2,242,641
18 Deferred tax asset	4,178,692	3,214,888	297,764	374,523	3,966,886	3,275,430
19 Retirement benefit asset	-	-	-	-	-	-
20 Other assets	18,762,277	12,876,106	1,491,697	913,300	17,005,232	12,644,802
21 TOTAL ASSETS	536,945,250	457,008,946	30,611,960	9,169,794	496,822,948	449,616,472
B LIABILITIES						
22 Balances due to Central Bank Of Kenya	-	-	2,156,981	2,002,307	-	-
23 Customer deposits	378,630,453	332,823,917	5,081,289	4,794,723	369,429,653	329,378,392
24 Deposits and balances due to local banking institutions	221,890	176,975	-	-	654,958	734,804
25 Deposits and balances due to banking institutions abroad	-	-	-	-	-	-
26 Other money market deposits	-	-	-	-	-	-
27 Borrowed funds	46,026,141	26,424,266	21,606,486	1,187,882	22,262,674	26,424,266
28 Balances due to banking institutions in the group	-	-	-	-	-	-
29 Tax payable	-	41,092	-	-	-	29,805
30 Dividends payable	-	-	-	-	-	-
31 Deferred tax liability	-	-	-	-	-	-
32 Retirement benefit liability	-	-	-	-	-	-
33 Other liabilities	20,018,494	16,685,807	467,397	782,717	18,878,284	15,961,221
34 TOTAL LIABILITIES	444,896,977	376,152,056	29,312,153	8,767,629	411,225,569	372,528,487
C SHAREHOLDERS' FUNDS						
35 Paid up/Assigned capital	5,867,180	5,867,180	1,867,947	1,643,793	5,867,180	5,867,180
36 Share premium/(discount)	1,911,925	1,911,925	3,087,449	2,311,603	1,911,925	1,911,925
37 Revaluation reserve	1,511,925	1,388,931	-	-	1,316,635	1,351,679
38 Retained earnings/ Accumulated losses	74,582,478	62,402,380	(3,770,486)	(3,569,582)	69,602,038	60,096,268
39 Statutory Loan Loss Reserve	14,011	1,639,892	-	-	-	1,603,621
40 Other Reserves	546,230	(185,720)	114,897	16,351	607,481	(53,282)
41 Proposed dividends	5,867,180	5,867,180	-	-	5,867,180	5,867,180
42 Capital grants	424,939	443,414	-	-	424,939	443,414
43 TOTAL SHAREHOLDERS' FUNDS	90,725,868	79,335,183	1,299,807	402,165	85,597,379	77,087,985
43.1 Non-Controlling Interest	1,322,406	1,521,708	-	-	-	-
44 TOTAL LIABILITIES & SHAREHOLDERS' FUNDS	536,945,250	457,008,946	30,611,960	9,169,794	496,822,948	449,616,473

II STATEMENT OF COMPREHENSIVE INCOME

	31-Dec-20 KSHS.'000 Audited	31-Dec-19 KSHS.'000 Audited	31-Dec-20 KSHS.'000 Audited	31-Dec-19 KSHS.'000 Audited	31-Dec-20 KSHS.'000 Audited	31-Dec-19 KSHS.'000 Audited
1.0 INTEREST INCOME						
1.1 Loans and advances	33,500,169	31,778,944	514,314	620,487	32,709,725	31,512,218
1.2 Government securities	14,822,264	11,354,128	1,226,557	27,428	13,573,893	11,331,331
1.3 Deposits and placements with banking Institutions	518,211	506,406	39,905	22,848	329,780	414,183
1.4 Other Interest Income	-	-	-	-	-	-
1.5 Total Interest Income	48,840,645	43,639,479	1,780,777	670,762	46,613,399	43,257,731
2.0 INTEREST EXPENSE						
2.1 Customer deposits	10,937,757	10,661,045	173,350	401,983	10,764,407	10,621,407
2.2 Deposits and placements from banking institutions	196,208	110,551	24,498	52,469	171,710	110,551
2.3 Other Interest Expenses	1,357,714	1,564,552	56,507	202,039	1,278,185	1,564,552
2.4 Total Interest Expenses	12,491,679	12,336,147	254,354	656,490	12,214,303	12,296,510
3 NET INTEREST INCOME/(LOSS)	36,348,966	31,303,331	1,526,423	14,272	34,399,096	30,961,222
4 NON-INTEREST INCOME						
4.1 Fees and commissions on loans and advances	5,126,502	3,228,648	16,201	25,685	4,387,032	3,177,370
4.2 Other Fees and commissions	7,774,525	9,588,986	109,796	139,047	6,589,361	8,139,026
4.3 Foreign exchange trading income/(loss)	2,837,870	2,148,844	(26,649)	811	2,305,791	1,933,761
4.4 Dividend income	1,444	86,755	-	-	1,701,444	86,755
4.5 Other income	1,740,382	2,103,429	(12,504)	(36,110)	1,417,264	2,029,739
4.6 Total Non-interest income	17,480,723	17,156,662	86,844	129,433	16,400,891	15,366,652
5.0 TOTAL OPERATING INCOME	53,829,689	48,459,993	1,613,267	143,705	50,799,988	46,327,874
6.0 OTHER OPERATING EXPENSES						
6.1 Loan loss provision	8,111,824	2,539,071	301,881	160,641	7,516,667	2,459,898
6.2 Staff costs	13,421,772	12,374,217	287,726	313,439	12,455,467	11,847,149
6.3 Directors' emoluments	245,715	201,701	34,836	86,272	152,901	150,487
6.4 Rentals charges	1,023,975	721,910	31,447	76,042	944,476	707,561
6.5 Depreciation charge on property and equipment	3,004,831	2,645,291	57,274	51,763	2,520,023	2,482,465
6.6 Armortisation charges	968,196	595,085	245,885	264,570	700,828	568,654
6.7 Other operating expenses	12,621,578	8,717,000	778,365	431,230	9,548,996	7,785,594
6.8 Total other operating expenses	39,397,890	27,794,275	1,737,412	1,383,957	33,839,358	26,001,809

7 Profit/(Loss) before tax and exceptional items

8 Exceptional items-Early Retirement Costs

8 Exceptional items-Share of profit of associate

9 Profit/(Loss) before tax

10 Current tax

11 Deferred tax

12 Profit/(loss) after tax and exceptional items

13.0 OTHER COMPREHENSIVE INCOME:

13.1 Gains/(Losses) from translating the financial statements of foreign operations

13.2 Fair value changes in available-for-sale financial assets

13.3 Revaluation Surplus on property, Plant and Equipment

13.4 Share of other comprehensive income of associates

13.5 Income tax relating to components of other comprehensive income

14 OTHER COMPREHENSIVE INCOME NET OF TAX

15 TOTAL COMPREHENSIVE INCOME

Basic Earnings per share

Diluted Earnings per share

Dividend per share

III OTHER DISCLOSURES

	31-Dec-20 KSHS.'000 Audited	31-Dec-19 KSHS.'000 Audited	31-Dec-20 KSHS.'000 Audited	31-Dec-19 KSHS.'000 Audited	31-Dec-20 KSHS.'000 Audited	31-Dec-19 KSHS.'000 Audited
1 NON PERFORMING LOANS AND ADVANCES						
a) Gross non-performing loans and advances	59,134,016	31,618,456	6,786,736	6,082,597	51,781,184	31,155,503
Less	-	-	-	-	-	-
b) Interest in suspense	7,244,637	5,103,895	1,705,949	1,502,278	5,492,046	5,033,184
c) Total Non-performing loans and advances (a-b)	51,889,378	26,514,561	5,080,787	4,580,319	46,289,138	26,122,319
Less	-	-	-	-	-	-
d) Loan loss provisions	22,474,155	11,262,003	3,428,444	3,351,886	18,787,981	11,150,017
e) Net Non performing loans (c-d)	29,415,223	15,252,558	1,652,343	1,228,433	27,501,157	14,972,302
f) Discounted Value of Securities	23,568,736	15,252,558	3,064,857	1,128,562	20,503,879	14,972,302
g) Net NPLs Exposure (e-f)	5,846,487	-	(1,412,514)	99,871	6,997,278	-
2 Insider loans and advances						
a) Directors, shareholders and associates	5,784,045	6,454,598	-	100,000	5,784,045	6,454,598
b) Employees	11,003,462	9,117,557	105,025	159,192	10,898,437	9,117,557
c) Total insider loans, advances and other facilities	16,787,507	15,572,155	105,025	259,192	16,682,482	15,572,155
3 Off-Balance Sheet Items						
a) Letters of credit,guarantees, acceptances	37,901,657	25,276,943	931,961	700,730	36,969,696	25,276,943
b) Forwards, swaps and options	9,086,267	6,812,807	-	-	9,086,267	6,812,807
c) Other contingent liabilities	-	-	-	-	-	-
d) Total contingent liabilities	46,987,924	32,089,750	931,961	700,730	46,055,963	32,089,750
4 Capital strength						
a) Core capital	72,431,970	67,310,007	1,026,245	(170,791)	70,566,276	62,770,438
b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
c) Excess/(deficiency)	71,431,970	66,310,007	26,245	(1,170,791)	69,566,276	61,770,438
d) Supplementary capital	6,927,485	1,987,124	-	-	6,879,467	1,941,541
e) Total capital	79,359,455	69,297,131	1,026,245	(170,791)	77,445,743	64,711,979
f) Total risk weighted assets	470,055,138	413,660,437	7,426,957	8,984,292	455,847,214	410,346,536
g) Core capital/total deposit liabilities	19.1%	20.2%	20.2%	-3.6%	19.1%	19.0%
h) Minimum Statutory Ratio	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%
i) Excess/(deficiency)	11.1%	12.2%	12.2%	-11.6%	11.1%	11.0%
j) Core capital/total risk weighted assets	15.4%	16.3%	13.8%	-1.9%	15.5%	15.3%
k) Minimum Statutory Ratio	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%
l) Excess/(deficiency)(i-k)	4.9%	5.8%	3.3%	-12.4%	5.0%	4.8%
m) Total capital/total risk weighted assets	16.9%	16.8%	13.8%	-1.9%	17.0%	15.8%
n) Minimum Statutory Ratio	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%
o) Excess/(deficiency)(m-n)	2.4%	2.3%	-0.7%	-16.4%	2.5%	1.3%
p) Adjusted Core Capital/Total Deposit Liabilities	17.3%	20.2%	-	-	17.2%	19.0%
q) Adjusted Core Capital/Total Risk Weighted Assets	13.9%	16.3%	-	-	13.9%	15.3%
r) Adjusted Total Capital/Total Risk Weighted Assets	15.4%	16.8%	-	-	15.4%	15.8%
5 Liquidity						
a) Liquidity Ratio	52.2%	46.2%	362.2%	-25.4%	45.8%	44.8%
b) Minimum Statutory Ratio	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%
c) Excess/ (deficiency)(a-b)	32.2%	26.2%	342.2%	-45.4%	25.8%	24.8%

*The adjusted capital ratios include the expected credit loss provisions added back to capital in line with the CBK guidance note issued in April 2018 on implementation of IFRS9.

DIVIDENDS:

With the adequate capital buffers in the tough operating environment, the Board of Directors, as per Capital Markets Authority guidance vide circular dated 16th April 2020 on Board of Directors Mandate under COVID-19, has approved the payment of Kshs. 1.00 per ordinary share (2019 - Kshs. 1.00) to be paid on or about 14th April 2021 to the shareholders registered on the Bank register at the close of business 31st March 2021. The register will remain closed for one day on 13th April 2021 for the preparation of dividend warrants.

ANNUAL GENERAL MEETING: